Block practice · GDP, the economic cycle and inflation

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Inflation and deflation: meaning, measurement and causes

GDP and economic growth: meaning, uses and limits

GDP per capita

Percentage change, including inflation from a price index

Effects of inflation and deflation, including menu and shoe leather costs

The economic cycle: phases, jobs and prices

Label the economic cycle diagram

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Practice workbook · Inflation and deflation: meaning, measurement and causes

Definitions of inflation and deflation, CPI measurement, and demand-pull versus cost-push causes.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-08

1. Question 4 · part b · 6 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

4 Figure 4 shows labour force information for Mexico in the third quarter of 2020.

Labour force	51,011,033
Number of unemployed	2,769,491

Figure 4

(Source adapted from: https://tradingeconomics.com/mexico/unemployed-persons)

(a) Calculate, to two decimal places, the **rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

In Mexico the minimum wage was increased by 15% to 141.7 pesos (US $7.15) in 2021. Nearly 11 million workers in Mexico are paid the minimum wage.

(b) Analyse the impact of increasing wages on inflation in Mexico.

(6)

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1. Question 4 · part b · 6 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

In December 2020, Mexico had its biggest fall in GDP for nearly 100 years. Its GDP fell by 9.3% compared to 2019. Inflation was at 3.3% and had exceeded its target rate of 3% in August and October 2020.

Mexico's central bank kept its interest rate at 4.25% in December 2020. This followed 11 reductions in interest rates and the central bank said it needed time to assess the country's economic situation.

Mexican Interest Rate (%)

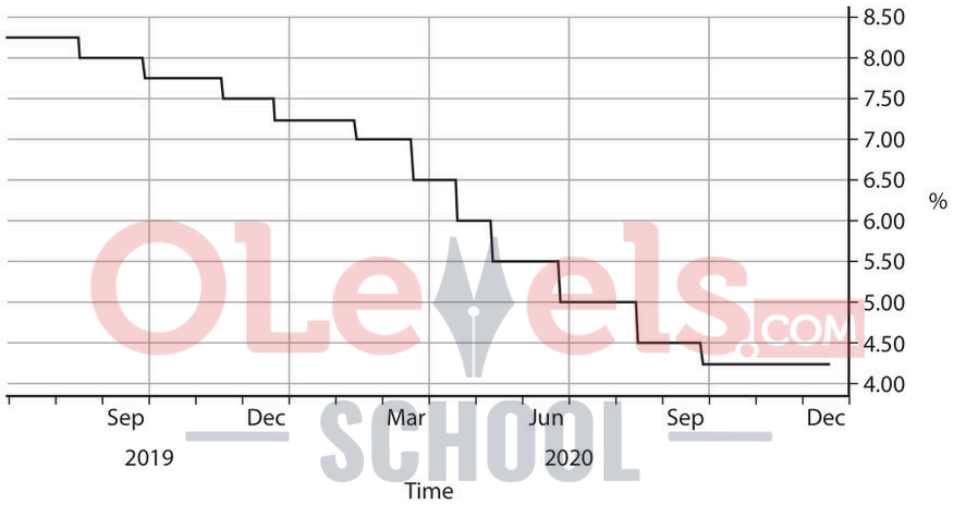


Figure 5

(Source adapted from: https://www.bloomberg.com/news/articles/2020-12-17/mexico-holds-key-interest-rate-despite-abrupt-inflation-slowdown)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in increasing total output in a country such as Mexico.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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2

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 3 · part a · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Cost-push inflation is most likely to result from an increase in (1)

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? (1)

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. (3)

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3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation. (1)

(d) What is meant by the term fiscal surplus? (2)

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4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

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5. Question 3 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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2

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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7. Question 1 · part c · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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8. Question 1 · part b · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
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(2)

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10. Question 1 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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10. Question 1 · part c · 2 marks · Working and answer

Working and answer

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Practice workbook · GDP and economic growth: meaning, uses and limits

What economic growth and GDP are, GDP as the measure of growth, and why GDP is useful for judging growth but can mislead (inflation, hidden economy, population, distribution, environment).

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-03

1. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part e only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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1. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part e only.

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The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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1. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part e only.

A UK environmental group has called for tough action to tackle air pollution, particularly from road transport. It wants the UK Government to impose higher taxation on petrol and diesel fuel for cars and trucks.

(d) With reference to the data above and your knowledge of economics, analyse the advantages of using taxation to help protect the environment in a country such as the UK.

(6)

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1. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part e only.

Just 30 years ago, Ghana was in crisis with high levels of poverty and on the edge of economic collapse. The West African nation has made a significant recovery and was predicted to be the world's fastest growing economy in 2019.

The International Monetary Fund (IMF) estimates Ghana's Gross Domestic Product (GDP) growth rate of 8.8% will be double that of emerging economies, and well ahead of world growth rates. Ghana is one of the world's largest cocoa producers. Its growth is now being maintained by a different commodity, the extraction of crude oil.

(Source adapted from: https://www.imf.org/external/datamapper/NGDP_RPCH@WEO/OEMDC/ADVEC/WEOWORLD/GHA)

(e) With reference to the data above and your knowledge of economics, assess the use of GDP as a measure of growth for a country such as Ghana.

(9)

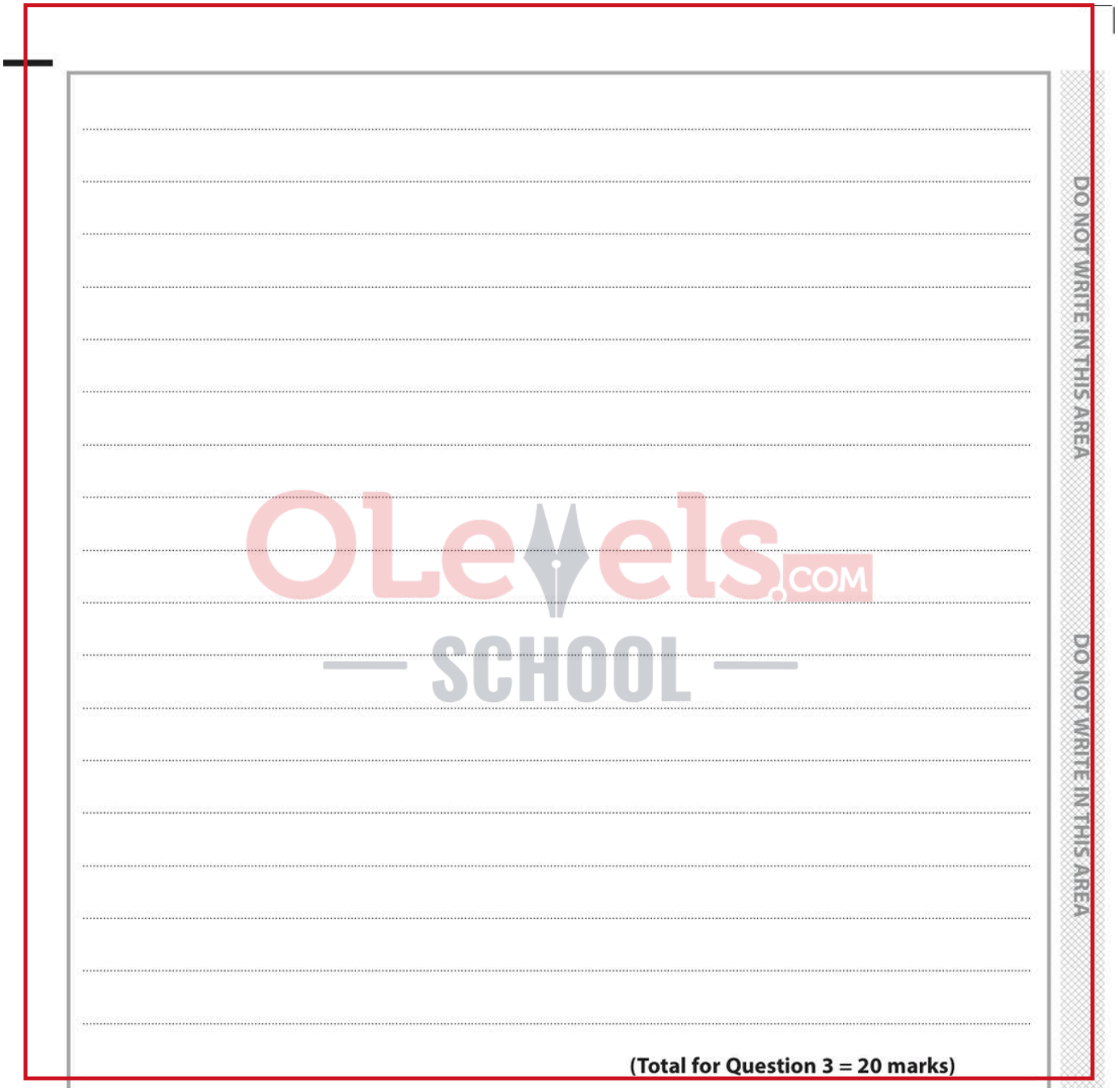
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1. Question 3 · part e · 9 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 2 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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2. Question 2 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

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2. Question 2 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

A recent report estimates 23% of gross domestic product (GDP) in Greece is from revenue that goes unrecorded by the government.

(f) Explain **one** possible reason why a large percentage of Greece's GDP might be unrecorded.

(3)

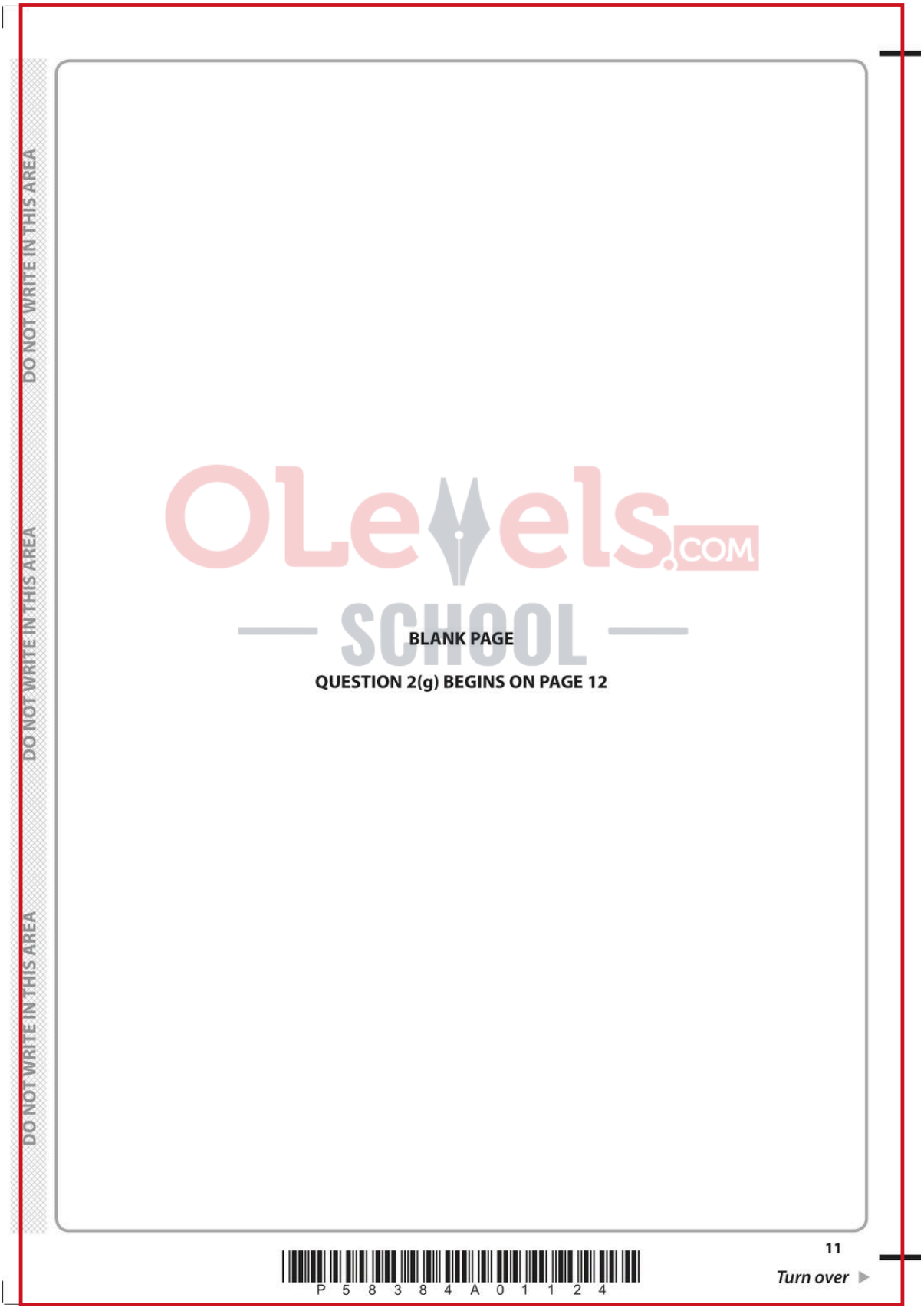
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2. Question 2 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.



2. Question 2 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

A new report from New Zealand Kiwifruit Growers Incorporated showed a serious shortage of seasonal workers. This could slow down the kiwifruit industry's predicted growth. The report showed that the industry will require an additional 7,000 seasonal workers if it is to double in size by 2027. Revenue from the sale of kiwifruits was predicted to increase from NZ$2.1bn in 2017 to NZ$4bn by 2027. At the start of the 2018 season, the industry was short of 1,200 workers with 70% of the crop still to be picked.

(Source adapted from: https://www.nzherald.co.nz/business/news/article.cfm?c_id=3&objectid=12099643)

(g) With reference to the data above and your knowledge of economics, assess the ways a country such as New Zealand could reduce the shortage of seasonal workers.

(9)

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2. Question 2 · part f · 3 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

(d) What is meant by the term infrastructure?

(2)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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4. Question 1 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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4. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part h · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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5. Question 1 · part h · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

5. Question 1 · part h · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

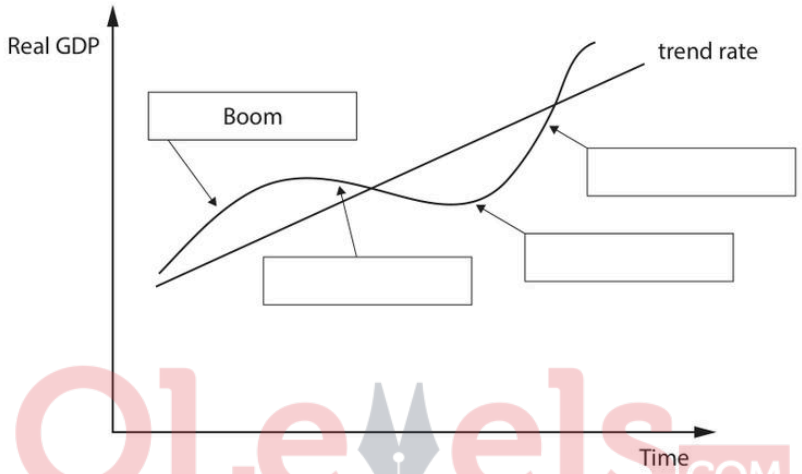


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

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5. Question 1 · part h · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

Singapore's gross domestic product (GDP) increased to 7.2% in 2021. This was mainly due to increased exports and an increase in consumer spending.

(h) With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore.

(6)

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5. Question 1 · part h · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(Total for Question 1 = 20 marks)

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5. Question 1 · part h · 6 marks · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part b · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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7. Question 1 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

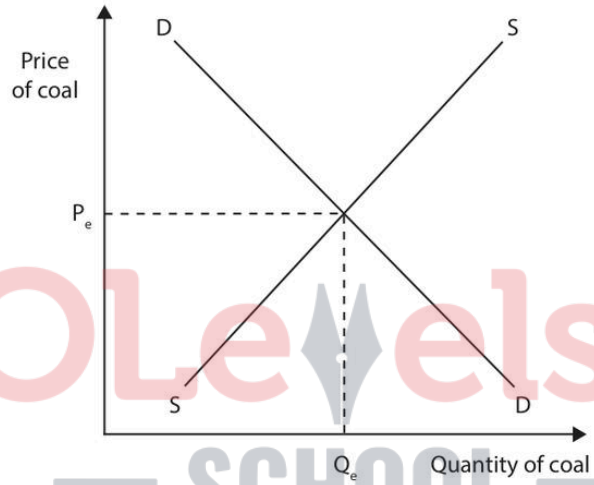


Figure 1

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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The UK Government allocates pollution permits to airlines such as easyJet and British Airways as part of its environmental strategy. The government reduces the total number of allocated pollution permits every year.

(g) Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.

(3)

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

India was the fastest growing economy in the G20 group of nations with rapid economic growth of 7.2% in 2023. India's gross domestic product (GDP) growth rate in 2024 was forecast to be 6.9%.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India.

(6)

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8. Question 1 · part h · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(Total for Question 1 = 20 marks)

8. Question 1 · part h · 6 marks · Working and answer

Working and answer

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9. Question 2 · part d · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

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(d) What is meant by the term economic growth?

(2)

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9. Question 2 · part d · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

The Swedish economy has been in recession since 2023 and is expected to remain in recession until 2025. As a result, the demand for labour has fallen which has caused unemployment to increase.

(e) Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden.

(3)

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9. Question 2 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · GDP per capita

Output per person from total GDP and population, handling millions and billions.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-16

1. Question 4 · part a · 2 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part a only.

4 GDP per capita is a measure of a country's economic output that accounts for population. Figure 4 shows the population and gross domestic product (GDP) for Vietnam in 2016.

	2016
Population (million)	92.7
GDP (US$ million)	202 600

Figure 4

(Source: © 2018 The World Bank Group)

(a) Calculate, to two decimal places, the GDP per capita for Vietnam in 2016. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part a only.

The unemployment rate fell in Vietnam between 2015 and 2016 but in the same period the inflation rate increased.

(b) Analyse how a fall in unemployment may have caused an increase in Vietnam's inflation rate.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit.

(1)

(d) What is meant by the term absolute poverty?

(2)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Percentage change, including inflation from a price index

(new - old) / old x 100 applied to any series: GDP, GDP per capita, population, profit, interest rate, spending, deficit, sales, and a consumer price index (including the base-100 shortcut and scaling a basket price by the index).

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-13

1. Question 4 · part a · 2 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part a only.

4 Figure 4 shows profit for a firm between 2017 and 2019.

Year	Profit ($)
2017	80 750
2018	83 550
2019	87 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** between 2017 and 2019, for the firm. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part a only.

Trekking is a very popular activity for tourists in Nepal. In the main tourist town of Pokhara, there are a few large firms that offer guides, porters and resources. Some smaller firms specialise in taking customers on less popular routes, whereas others offer guides who speak different languages. It is difficult for new competitors to set up in Pokhara, as expensive permits are required.

(b) With reference to the data above and your knowledge of economics, analyse why the market for trekking in Pokhara could be described as an oligopoly.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

(d) What is meant by the term supply-side policy?

(2)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 4 · part a · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

4 Figure 4 shows Kenya's interest rate (%) from January to October 2018.

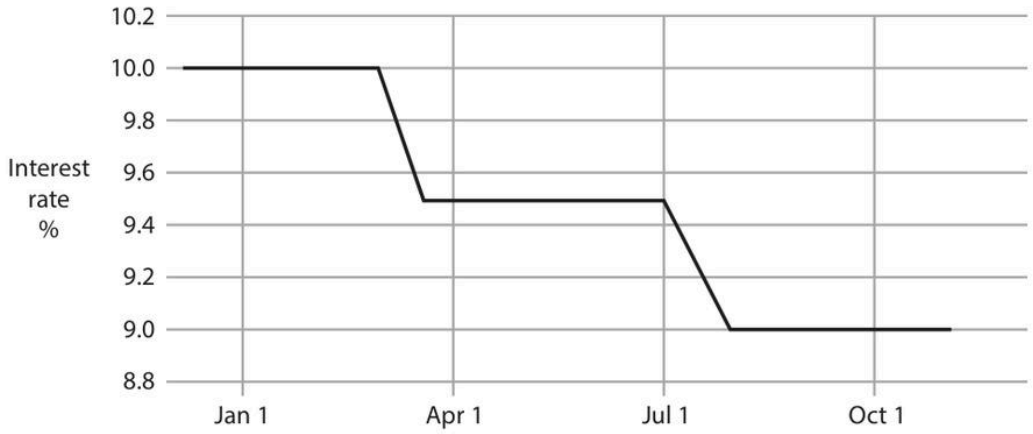


Figure 4

(Source: https://tradingeconomics.com/kenya/interest-rate)

(a) Calculate the **percentage change** in Kenya's interest rate between January and October 2018. You are advised to show your working. **(2)**

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P 5 8 3 8 4 A 0 2 0 2 4

3. Question 4 · part a · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

The annual rate of inflation in Kenya was 5.7% in September 2018 and fell to 5.53% in October 2018.

(b) Analyse how monetary policy could be used to further reduce the rate of inflation in Kenya.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

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4 Figure 3 shows the amount the US spent on education in 2017–2018.

Fiscal Year	$bn
2017	68
2018	59

(Source adapted from: https://www2.ed.gov/about/overview/budget/budget18/summary/18summary.pdf)

Figure 3

(a) Calculate to two decimal places the **percentage change** in the amount spent on education in the US from 2017–2018. You are advised to show your working.

(2)

OLevels.com SCHOOL

4. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

The World Trade Organisation (WTO) has 164 members representing 98% of world trade. The US joined in 1995 and has been involved in 422 trade disputes.

(b) Analyse the role of the World Trade Organisation (WTO) in the growth of international trade.

(6)

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4. Question 4 · part a · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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5. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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5. Question 1 · part e · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

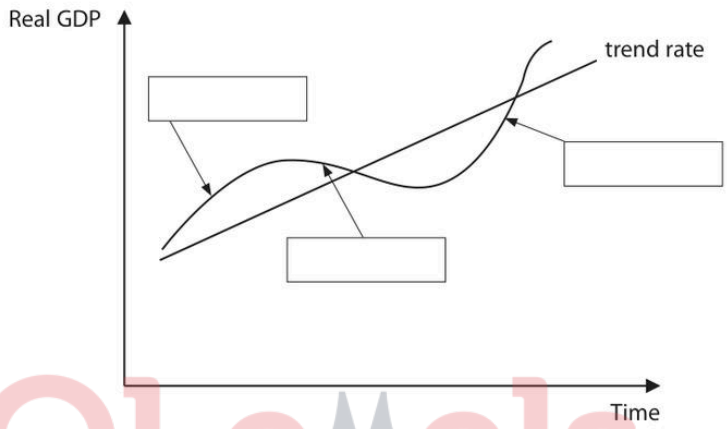


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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P 6 2 0 3 1 A 0 4 2 4

5. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

4 Figure 5 shows the population in Austria in the years 2000, 2008 and 2018.

Year	Population
2000	8,069,276
2008	8,341,532
2018	8,891,388

(Source adapted from: https://worldpopulationreview.com/countries/austria-population/)

Figure 5

(a) Calculate, to two decimal places, the **percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.

(2)

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6. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

Figure 6 shows the price elasticity of supply (PES) of bananas.

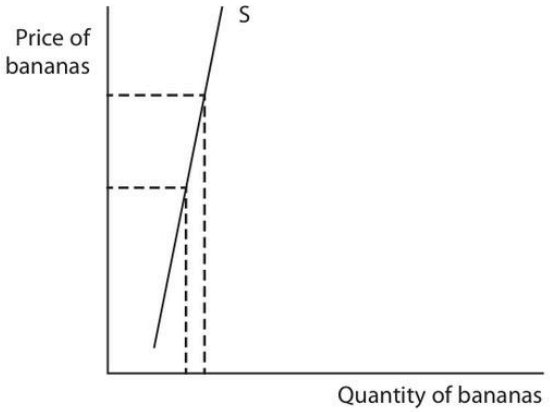


Figure 6

(b) With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. (6)

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6. Question 4 · part a · 2 marks · Working and answer

Working and answer

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7. Question 1 · part e · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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7. Question 1 · part e · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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7. Question 1 · part e · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

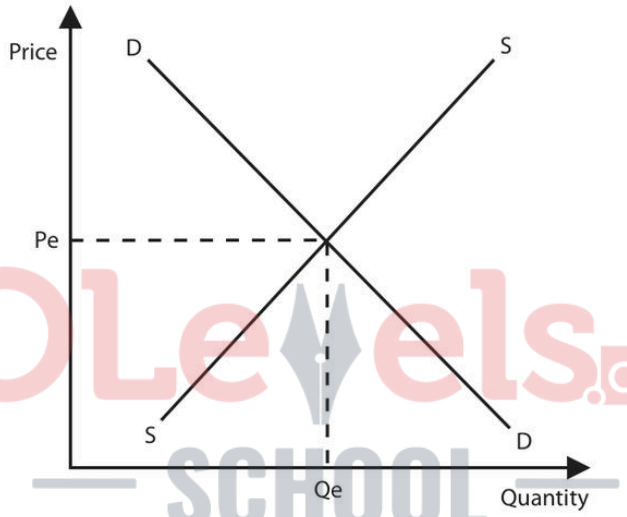


Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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7. Question 1 · part e · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 4 shows the change in gross domestic product (GDP) per capita for Vietnam.

	2018	2019
GDP per capita US$	2 590	2 715

Figure 4

(Source adapted from: https://www.ceicdata.com/en/indicator/vietnam/gdp-per-capita)

(a) Calculate, to two decimal places, the **percentage increase in GDP per capita** between 2018 and 2019. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

Figure 5 shows Vietnam's quarterly unemployment rate (%) 2017–2019.

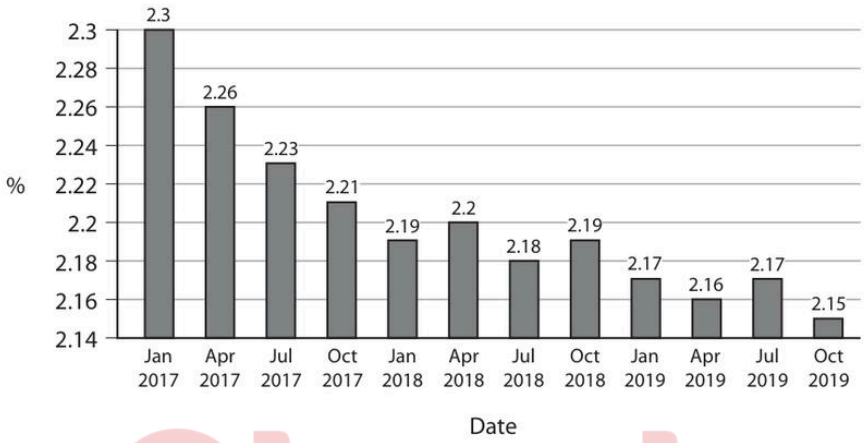


Figure 5

(Source: https://tradingeconomics.com/vietnam/unemployment-rate)

(b) With reference to the data above and your knowledge of economics, analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 4 · part a · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 3 shows the gross domestic product (GDP) per capita for Egypt in 2019 and 2020.

	2019	2020
GDP per capita US$	3 043	3 561

Figure 3

(Source adapted from: https://www.statista.com/statistics/377353/gross-domestic-product-gdp-per-capita-in-egypt/)

(a) Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working.

(2)

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9. Question 4 · part a · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

Figure 4 shows the quarterly current account deficit (US$m) for Egypt from January 2018 until October 2020.

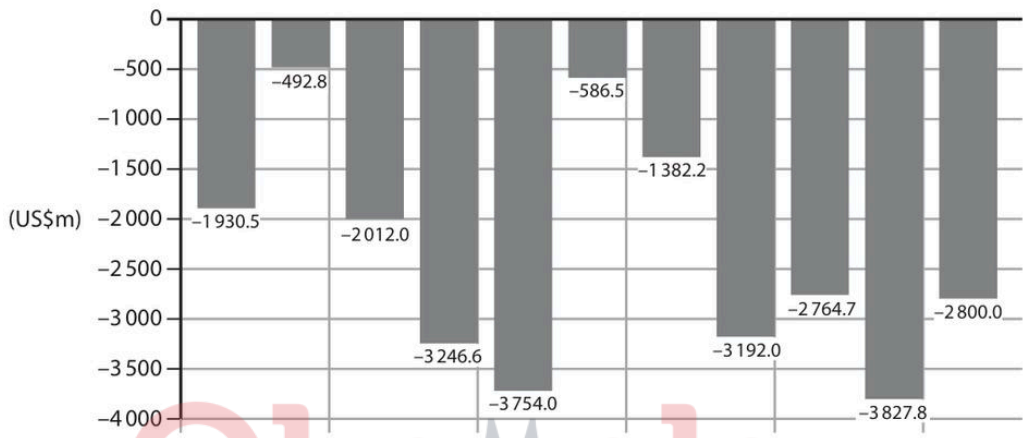


Figure 4

(Source adapted from: https://tradingeconomics.com/egypt/current-account)

(b) Analyse the possible impact on Egypt of having a continuous current account deficit.

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9. Question 4 · part a · 2 marks · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part a only.

3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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11. Question 3 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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11. Question 3 · part a · 1 mark · Working and answer

Working and answer

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12. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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12. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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12. Question 1 · part e · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

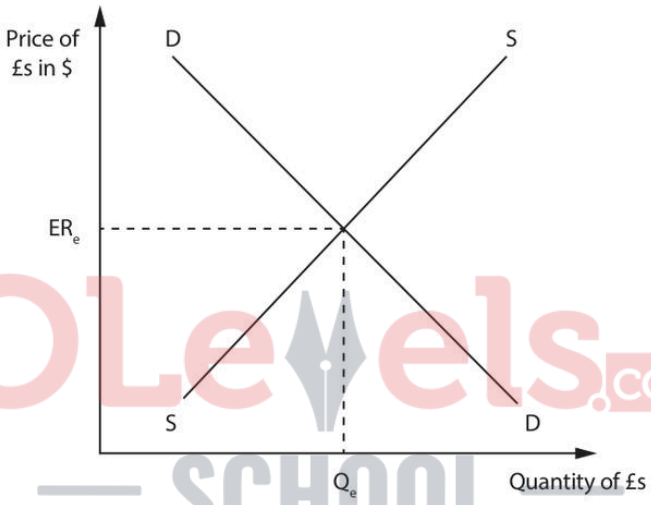


Figure 1

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12. Question 1 · part e · 2 marks · Working and answer

Working and answer

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13. Question 4 · part a · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part a only.

4 Figure 3 shows the fiscal deficit (€bn) for Spain in 2019 and 2020.

	2019	2020
Fiscal deficit	–€35.64bn	–€123.07bn

Figure 3

(Source: https://www.statista.com/statistics/270401/budget-balance-in-spain/)

(a) Calculate, to two decimal places, **the percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working.

(2)

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13. Question 4 · part a · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part a only.

One of Spain's main macroeconomic objectives is to reduce its fiscal deficit.

(b) With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain.

(6)

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13. Question 4 · part a · 2 marks · Working and answer

Working and answer

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14. Question 4 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

4 Figure 5 shows profit for a firm between 2020 and 2022.

Year	Profit ($)
2020	20 250
2021	21 000
2022	22 950

Figure 5

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working.

(2)

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14. Question 4 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

Marina Café is popular with tourists and locals in the town of Budva, Montenegro. It is situated next to the sea, with views of the surrounding mountains. Customers can enjoy their drinks whilst benefitting from the pleasant surroundings but pay €2.00 for a cup of coffee. The same brand of coffee can be bought for €0.80 a cup in some other cafés in Budva.

(b) With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café.

(6)

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14. Question 4 · part a · 2 marks · Working and answer

Working and answer

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15. Question 3 · part b · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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15. Question 3 · part b · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part b only.

In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

(3)

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P 7 5 9 5 5 A 0 1 5 2 8

15

Turn over

15. Question 3 · part b · 1 mark · Working and answer

Working and answer

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16. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

4 Figure 5 shows the gross domestic product (GDP) for India in 2021 and 2022.

	2021	2022
GDP ($bn)	3 150.31	3 385.09

Figure 5

(a) Calculate, to two decimal places, the **percentage change in GDP** for India between 2021 and 2022. You are advised to show your working.

(2)

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16. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

The Indian Government offers many different benefit payments and other provisions to very low-income individuals and families to help to reduce poverty. These include cash transfers, food rations and training courses for unemployed workers.

(b) With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India.

(6)

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16. Question 4 · part a · 2 marks · Working and answer

Working and answer

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17. Question 4 · part a · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 6 shows the population of Finland in the years 2021, 2022 and 2023.

Year	Population
2021	5,541,075
2022	5,569,299
2023	5,601,185

Figure 6

(a) Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.

(2)

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17. Question 4 · part a · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

Malaysian company Air Asia was founded in 1993 as a low-price airline. It has grown to offer a wider range of services, including hotels, holiday packages, airport transfers and travel insurance.

It offers flights to over 150 destinations in 25 countries.

(b) With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets.

(6)

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17. Question 4 · part a · 2 marks · Working and answer

Working and answer

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18. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

4 Figure 4 shows profit for a firm between 2021 and 2023.

Year	Profit ($)
2021	211 600
2022	213 700
2023	214 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.

(2)

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18. Question 4 · part a · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

The market for petrol in Uganda has five main companies, each with a distinctive logo and colours representing its brand. These companies benefit considerably from barriers to entry, due to very high set-up costs.

Each company offers something different to stand out from its competitors. Vivo Energy offers excellent customer service. Total Energies aims to improve its impact on the environment. Nile Energy has a reputation for modern facilities. Hass Petroleum uses a loyalty card to retain customers and Stabex International focuses on having motivated employees.

(b) With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly.

(6)

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18

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18. Question 4 · part a · 2 marks · Working and answer

Working and answer

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19. Question 4 · part a · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

4 Figure 5 shows the number of single-use plastic bags sold by the main retailers in the UK in 2021 and 2023.

Year	Number sold
2021	197 million
2023	133 million

Figure 5

(a) Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.

(2)

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19. Question 4 · part a · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

From food to clothes, supply chains have harmful impacts on the environment. In 2023, the supply of consumer goods and services was the largest single contributor to UK emissions at 26% of the annual total; the UK energy sector was second highest at 17%.

(b) With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK.

(6)

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19. Question 4 · part a · 2 marks · Working and answer

Working and answer

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Practice workbook · Effects of inflation and deflation, including menu and shoe leather costs

Effects of inflation (and deflation) on purchasing power, real wages, confidence, uncertainty and investment; the named costs of repricing (menu costs) and searching for lower prices (shoe leather costs); and why low, stable inflation is an objective.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-09

1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

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(c) What is meant by the term income inequality?

(2)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

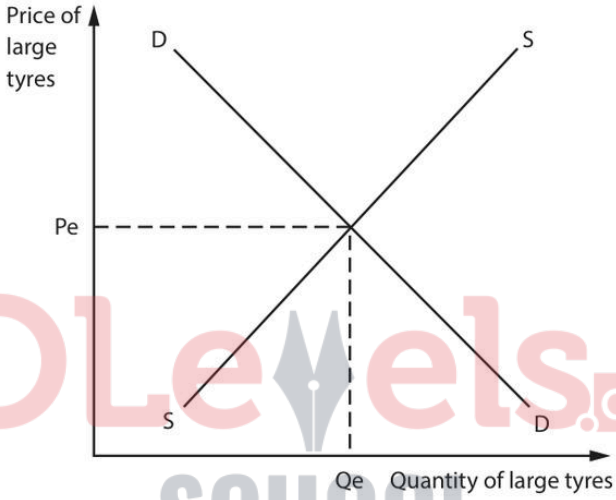


Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

Inflation in Germany reached a record annual rate of 10.4% in October 2022. It is predicted to remain high for another two years.

(h) With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part h · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

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Turn over

2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

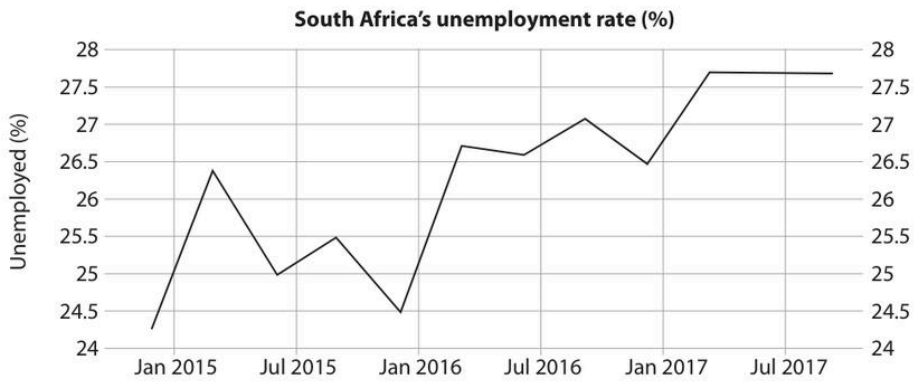


Figure 3

In 2017, unemployment in South Africa reached its highest level in 13 years at 27.7%. Concerns have been expressed about the very high levels of youth unemployment and the social problems this might cause. Statistics show that 39% of all unemployed South Africans have never worked before and for young people this figure is even higher, at 60.3%.

(e) With reference to the data above and your knowledge of economics, assess the impact of high rates of unemployment on a country such as South Africa. (9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(d) Analyse the possible impact of unemployment on an economy.

(6)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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Turkey's inflation rate (%)

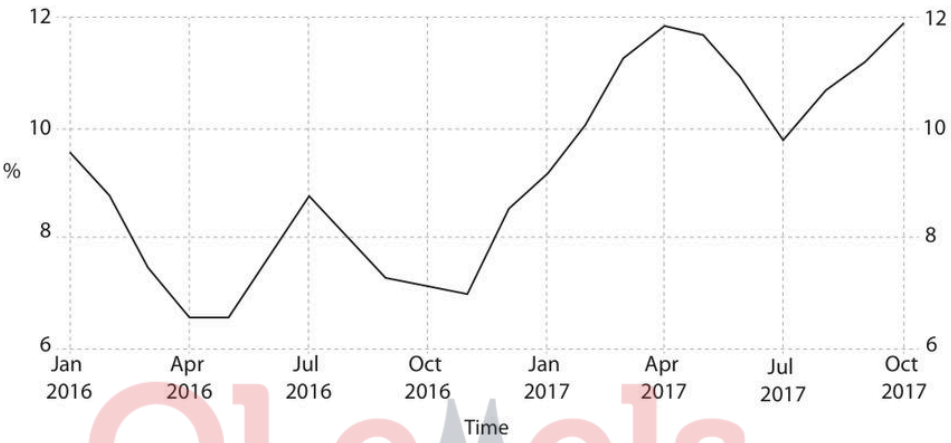


Figure 3

Inflation remains a major problem for Turkey's economy. Annual inflation in Turkey increased to 11.9% in October 2017. The highest price rises were for transportation, which rose by 16.79% and food, which increased by 12.74%.

(e) With reference to the data above and your knowledge of economics, assess the impact of inflation on a country such as Turkey.

(9)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

3. Question 3 · part e · 9 marks · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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2

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) What is meant by the term shoe leather costs?

(2)

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(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

In November 2018, the South African Monetary Policy Committee decided to increase interest rates by 0.25% to 6.75%. This decision affected the currency of South Africa, the Rand.

(d) Analyse the likely impact of an increase in interest rates on the currency of South Africa.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) Using the diagram below, draw the effect of the introduction of a new quota that is less than the original quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

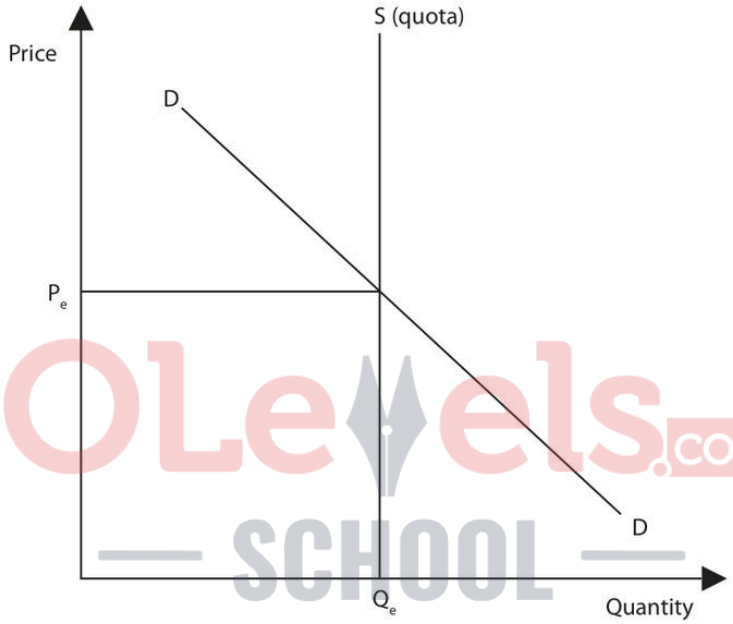


Figure 2

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

Mexico plans to increase the country's minimum wage by 16% to $5.10 a day.
Mexico's President promised further rises to keep up with the high rates of inflation.

(g) Explain the impact of high rates of inflation on wages in a country such as Mexico.

(3)

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2018, 44 African countries signed a deal to create one of the world's largest trade blocs, the African Continental Free Trade Area (AfCFTA). AfCFTA will create a market of 1.2 bn people with a gross domestic product (GDP) of $2.5 trillion.

(h) Analyse the benefits to a country of being a member of the African Continental Free Trade Area (AfCFTA).

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

4 Zhang Li had 8 000 Yuan (¥) in her savings account. The annual interest rate for this savings account was 2.25%.

(a) Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.

(2)

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— SCHOOL —

7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

In July 2019, China's annual inflation rate increased to 2.8%. This was the highest rate since February 2018.

(b) With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China.

(6)

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15

Turn over

7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

Since March 2019 the overall inflation rate for China has been above 2%. In July 2019, China's food prices increased by 9.1% from the previous year. In particular, meat prices rose by 27% due to the spread of infectious animal diseases. At the same time fresh fruit prices rose by 39.1% as the Chinese fruit supply had been affected by severe weather.

China's central bank is called the People's Bank of China (PBOC). The PBOC has the responsibility of maintaining price stability and promoting growth through the management of monetary policy.



(Source adapted from: tradingeconomics.com)

Figure 5

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in controlling inflation in a country such as China.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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8. Question 3 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The UK has a benefits payment called Universal Credit. It is a payment to help with living costs if a person is on low income or out of work.

	Monthly standard allowance (£)
Single adult aged under 25 years	342.72
Single adult aged over 25 years	409.89
A couple/two adults both aged under 25 years	488.59
A couple/two adults both aged over 25 years	594.04

Figure 3

(Source adapted from: https://www.gov.uk/universal-credit/what-youll-get)

(e) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as the UK.

(9)

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13

Turn over

9. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

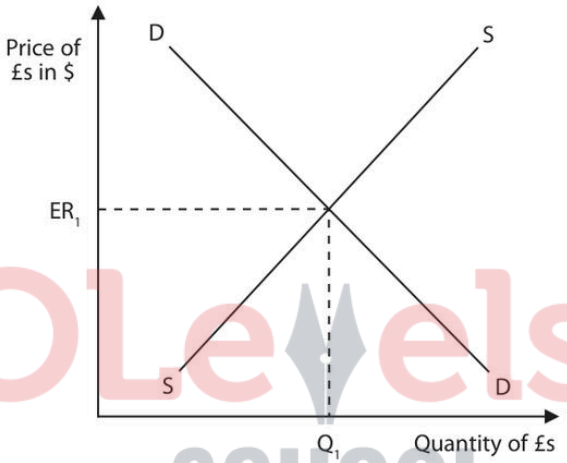


Figure 3

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P 6 6 3 2 9 A 0 8 2 4

10. Question 2 · part e · 3 marks · Working and answer

Working and answer

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

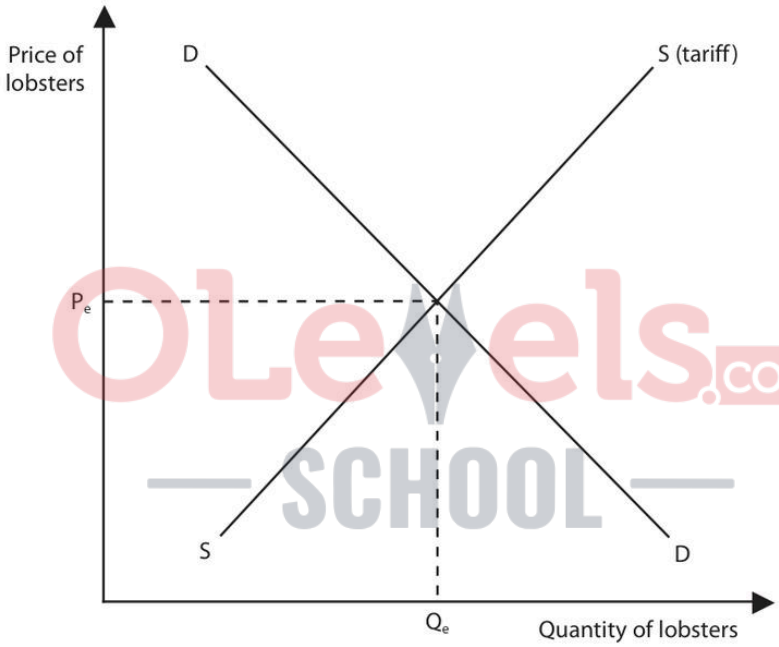


Figure 1

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Mexico's annual inflation rate was 3.4% in 2020. The minimum wage was increased by 20% from 2019.

(g) Explain the impact of wages rising faster than inflation on a country such as Mexico.

(3)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2020, the Vietnamese Government aimed to have an additional 1 million people working in the Information Technology (IT) sector. Unemployed workers were offered IT training courses in colleges and IT centres across Vietnam.

(h) Analyse the impact of education and training on the productive potential of a country such as Vietnam.

(6)

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(Total for Question 1 = 20 marks)

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11. Question 1 · part g · 3 marks · Working and answer

Working and answer

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12. Question 1 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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2

P 7 4 0 5 9 R A 0 2 2 4

12. Question 1 · part a · 1 mark · Working and answer

Working and answer

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

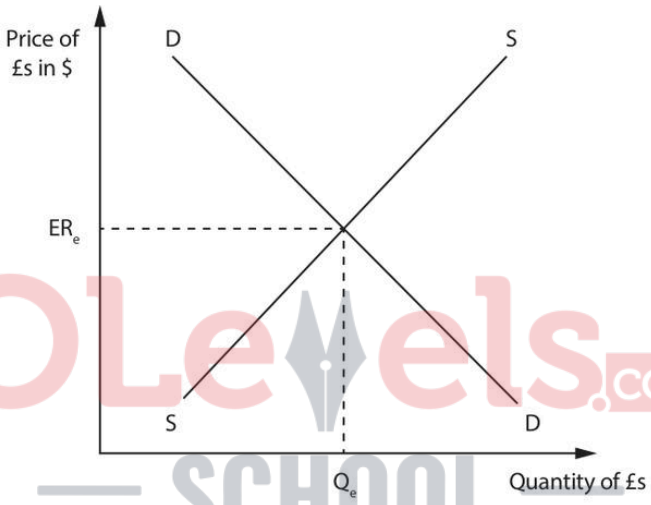


Figure 1

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

In 2022, Columbia maintained its current import quotas for rice. Rice is a staple food in Columbia and many domestic farmers rely on its production.

(h) Analyse the possible benefits for Columbia of having import quotas.

(6)

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P 7 4 0 5 8 R A 0 6 2 4

13. Question 1 · part g · 3 marks · Working and answer

Working and answer

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14. Question 3 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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14. Question 3 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

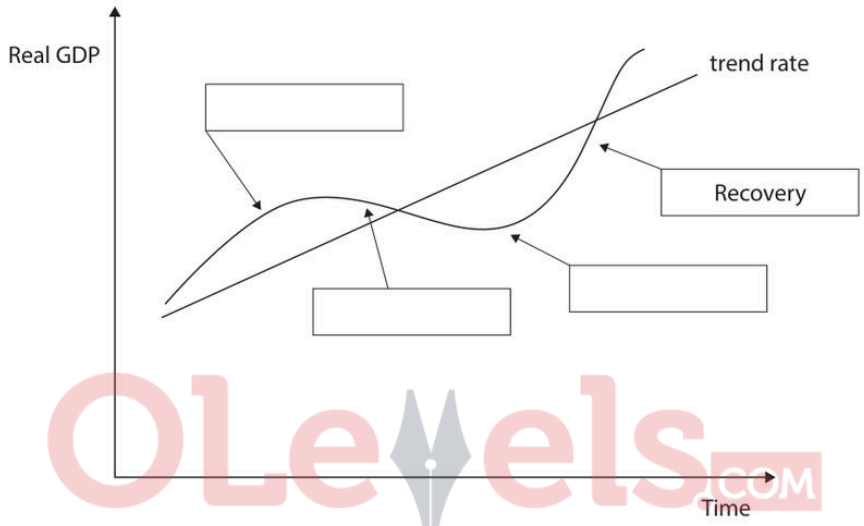


Figure 4

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14. Question 3 · part b · 1 mark · Working and answer

Working and answer

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

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P 7 5 9 5 5 A 0 3 2 8

15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

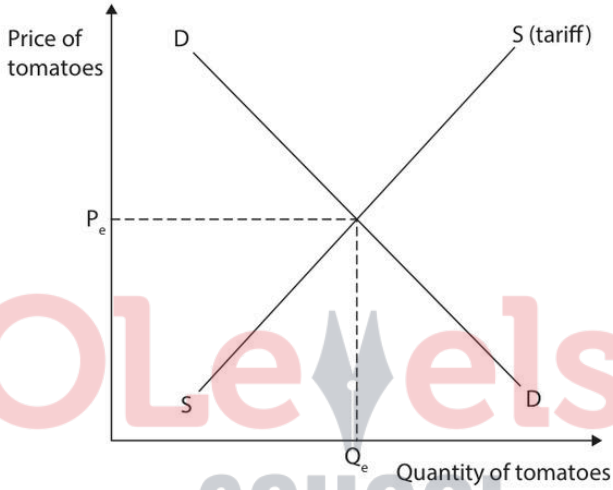


Figure 2

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

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In Singapore, the government fined a construction company $1m for breaking safety laws that led to the death of a worker. The company had failed to provide adequate safety equipment and training for its workers.

(g) Explain **one** reason why governments use fines.

(3)

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

Annual inflation in Türkiye was 73.5% in May 2023, the highest rate since 1998.
This was mainly caused by an annual increase of 152.7% in energy prices.

(h) With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.

(6)

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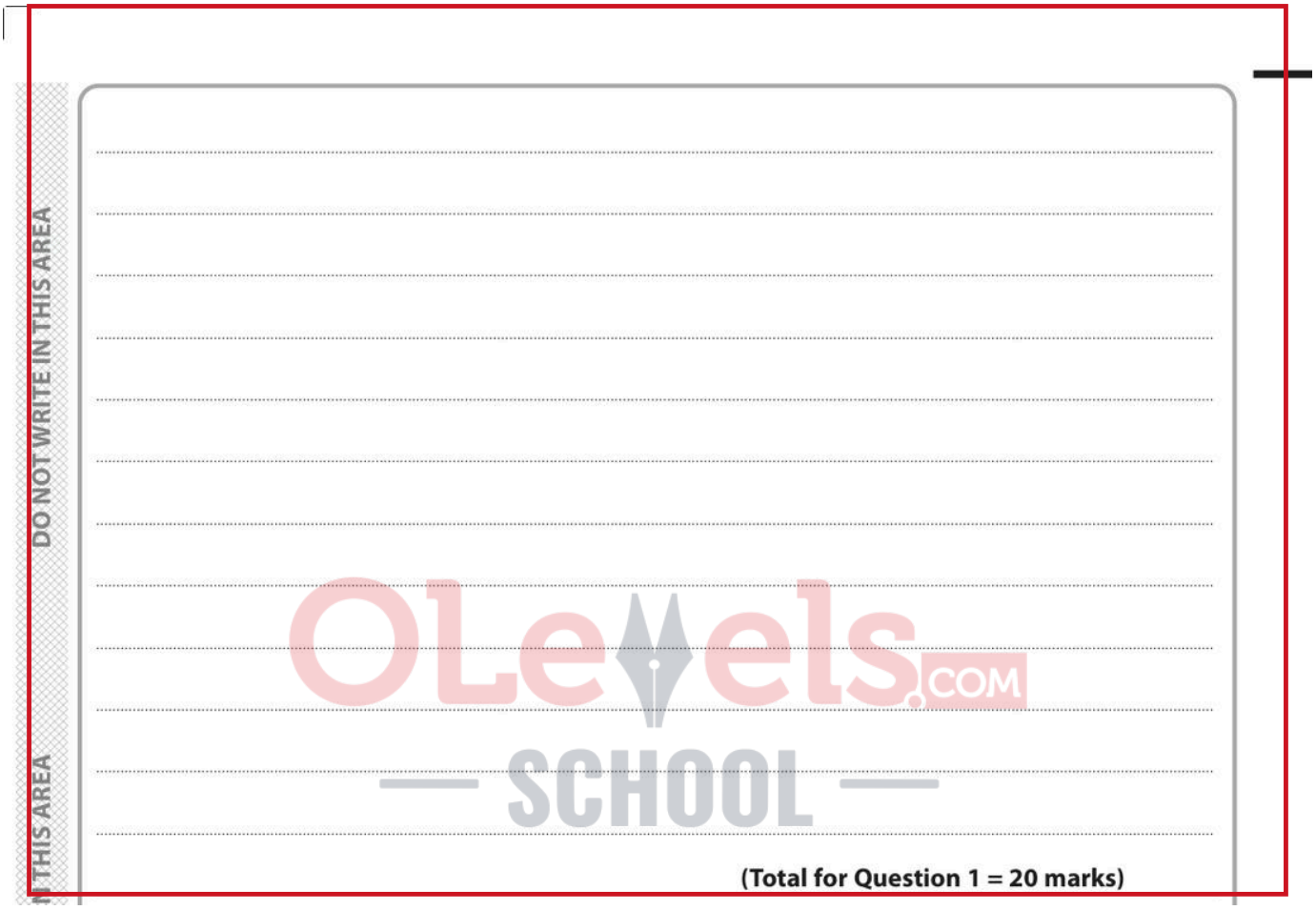
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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.



15. Question 1 · part h · 6 marks · Working and answer

Working and answer

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

OLevels.COM SCHOOL

(b) What is the **visible trade balance** in $bn for the country?

(1)

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

(3)

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Consumers in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) was 3.9% in November and increased to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.

(6)

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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16

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Gross domestic product (GDP) growth in France is forecast to remain low over the next two years. Consumer spending is expected to improve as inflation reduces. However, a weak outlook for the German economy, France's main trade partner, and low growth in China are expected to limit any increases in growth.

As a result, unemployment levels are expected to remain high. The interest rate in France (as set by the European Central Bank) was 4.5% in December 2023, but may change in the future.

France	December 2023
GDP growth rate	1%
Inflation	5.8%
Unemployment	7.2%

Figure 4

(e) With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France.

(9)

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16. Question 3 · part d · 6 marks · Working and answer

Working and answer

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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Owners of small firms in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) increased from 3.9% in November to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.

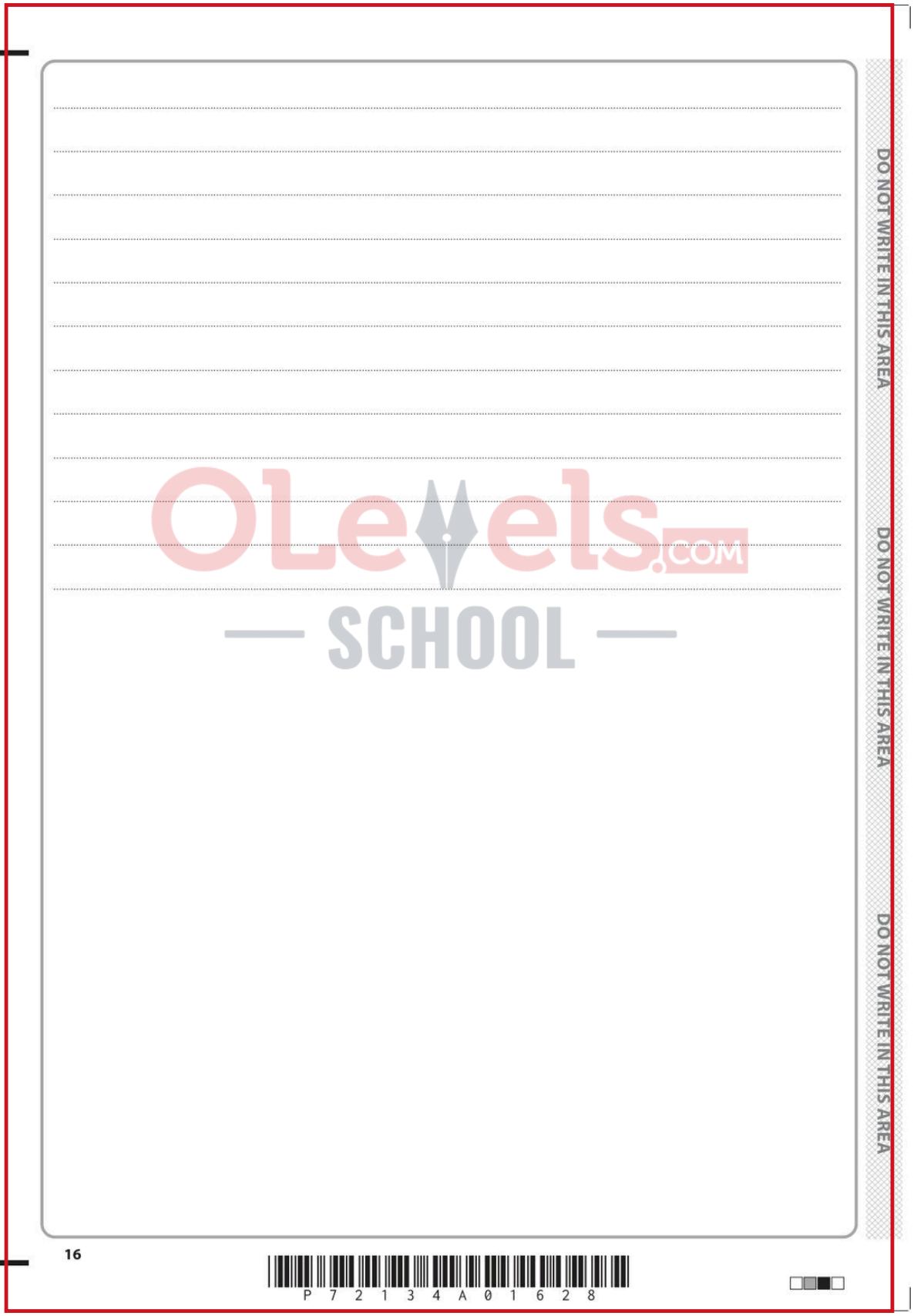
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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.



17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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In 2025, the Government of Italy is to reduce income tax rates for some income tax payers. The higher rate of income tax is to remain the same. The Italian Treasury said that the scheme is 'aimed at simplifying and reducing the tax burden, encouraging investment and recruitment'.

	2024	2025
Up to €8 500	0%	0%
€8 501–€28 000	25%	23%
€28 001–€50 000	35%	33%
€50 001+	43%	43%

Figure 4

(e) With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy.

(9)

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P 7 2 1 3 4 A 0 1 7 2 8

17

Turn over

17. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 3 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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18. Question 3 · part a · 1 mark · Working and answer

Working and answer

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 4 shows data on the number of people in the labour force in the Netherlands in December 2021.

Labour force	9,210,000
Unemployed	251,000

Figure 4

(Source: https://tradingeconomics.com/netherlands/unemployment-rate)

(a) Calculate, to two decimal places, the **rate of unemployment** in the Netherlands in December 2021. You are advised to show your working.

(2)

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 5 shows the rate of inflation (%) for the Netherlands from January 2021 until November 2021.

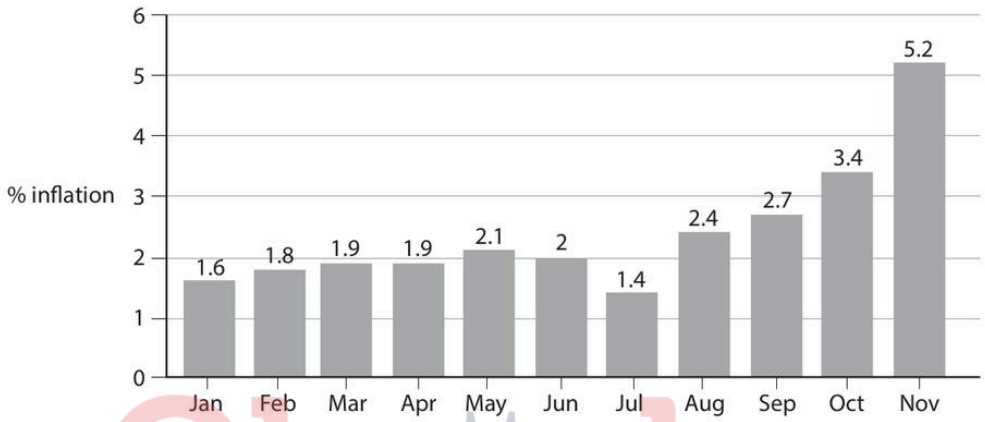


Figure 5

(Source: https://tradingeconomics.com/netherlands/inflation-cpi)

(b) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.

(6)

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

The Tata Steel steelworks in IJmuiden, Netherlands, will have to meet tougher rules on pollution and will have extra checks to make sure it improves the air quality around the plant. These include reducing Tata Steel's current pollution permits and will require it to change some production processes.

The government made the decision following the publication of a report which concluded that dust in the IJmuiden region contained high levels of dangerous metals such as lead. An earlier report stated that air quality in the area was poor to inadequate.

Tata Steel in the Netherlands has a total workforce of 11,000 and indirectly provides work for thousands in the local economy.

(Source: https://www.dutchnews.nl/news/2021/12/tata-steel-faces-tougher-permit-rules-and-more-pollution-checks/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands.

(12)

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19. Question 4 · part b · 6 marks · Working and answer

Working and answer

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Practice workbook · The economic cycle: phases, jobs and prices

The meaning of boom, downturn, recession and recovery, what happens to GDP in each, and how a recession or recovery changes employment and the price level.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-04

1. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part e only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

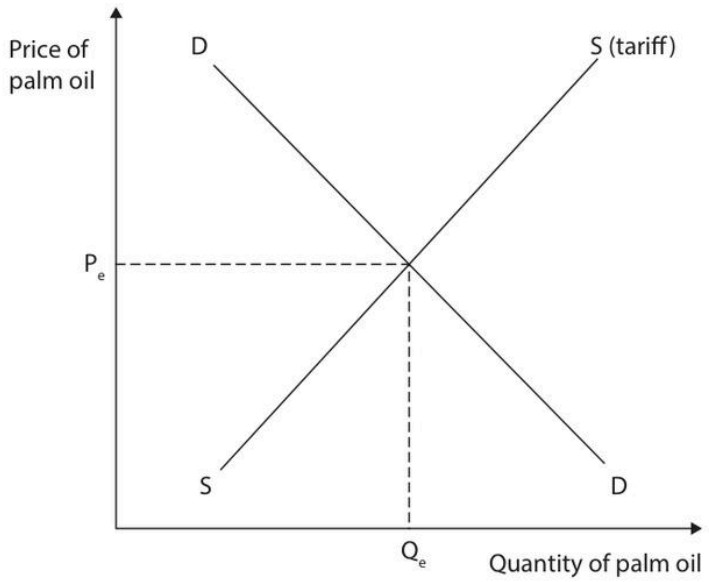


Figure 4

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part e only.

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Global trade reached a record high of $29 trillion in 2022. It has continued to grow, although at a slower rate since the global health crisis.

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation.

(6)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part e only.

Germany's economy shrank more than expected in the fourth quarter of 2022. This raised doubts over the ability of Europe's biggest economy to avoid a recession and recover quickly from its energy crisis due to high gas and oil prices.

Record inflation rates of 10.4% caused reductions in German consumer spending and business investment in buildings and machinery. This led to a 0.4% decrease in gross domestic product (GDP) from the previous quarter.

The effects will be felt by consumers, workers, firms and the German Government.

(e) With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany.

(9)

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1. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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2

P 5 8 3 8 5 A 0 2 2 4

3. Question 1 · part c · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) What is meant by the term shoe leather costs?

(2)

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3

Turn over ▶

3. Question 1 · part c · 2 marks · Working and answer

Working and answer

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4. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits? (1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase? (1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank? (2)

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P 6 2 6 4 2 R A 0 2 2 0

4. Question 1 · part b · 1 mark · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

(3)

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

In 2018, Italy entered a recession after the country's manufacturing sector decreased for the third month in a row. Gross domestic product (GDP) fell by 0.1% from July to September.

(d) Analyse the impact on unemployment of a recession in a country such as Italy.

(6)

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

China's central bank has recently eased monetary policy due to slowing in economic growth. This included bringing down interest rates to 4.35%.

China Interest Rate (%)



(Source adapted from: https://tradingeconomics.com/china/interest-rate)

Figure 2

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of monetary policy in increasing economic growth for a country such as China.

(9)

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part c · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voluntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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6. Question 1 · part c · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term dumping?

(2)

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Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

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6. Question 1 · part c · 2 marks · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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7. Question 1 · part c · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term infant industries?

(2)

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In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

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(d) What is meant by the term recovery?

(2)

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8. Question 2 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 2 · part g · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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10. Question 2 · part g · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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In March 2020, the European Central Bank (ECB) purchased €1.85 trillion worth of assets including government bonds and corporate bonds.

(e) Explain **one** benefit of asset purchasing by a central bank such as the ECB.

(3)

OLevels.COM — SCHOOL —

10. Question 2 · part g · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for UK pounds (£), as well as the equilibrium exchange rate against the euro (€). UK interest rates increased from 4% to 4.25% in March 2023.

(f) Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

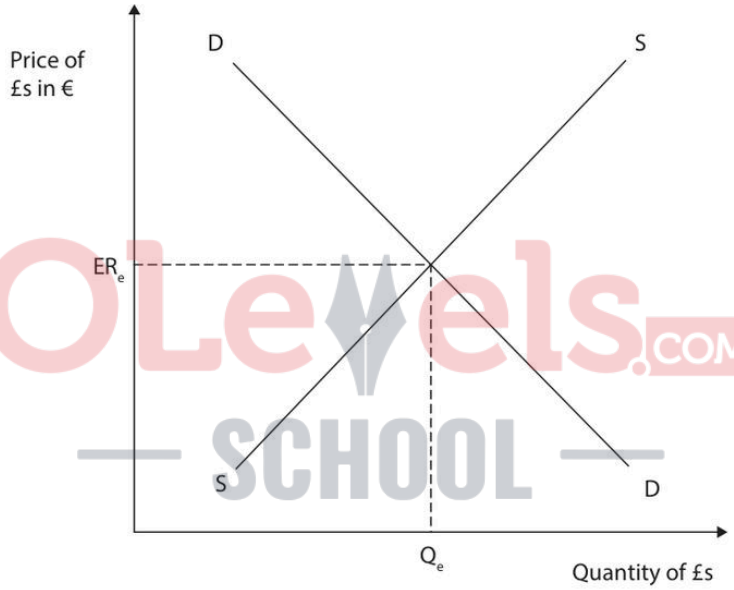


Figure 3

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10. Question 2 · part g · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The Chinese economy only grew by 3% in 2022. However, in 2023 exports increased by 14.8% compared to the previous year, suggesting that China would achieve its growth target of 5%.

By March 2023, China was experiencing an economic recovery with the services and construction sectors reaching a 12-year high.

However, China's export recovery is expected to be temporary. This is because of possible weaker global demand due to interest rate rises in many economies.

(g) With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China.

(9)

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10. Question 2 · part g · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

10. Question 2 · part g · 9 marks · Working and answer

Working and answer

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11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

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11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.

In 2024, France announced a €4bn subsidy package to support the production of hydrogen.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

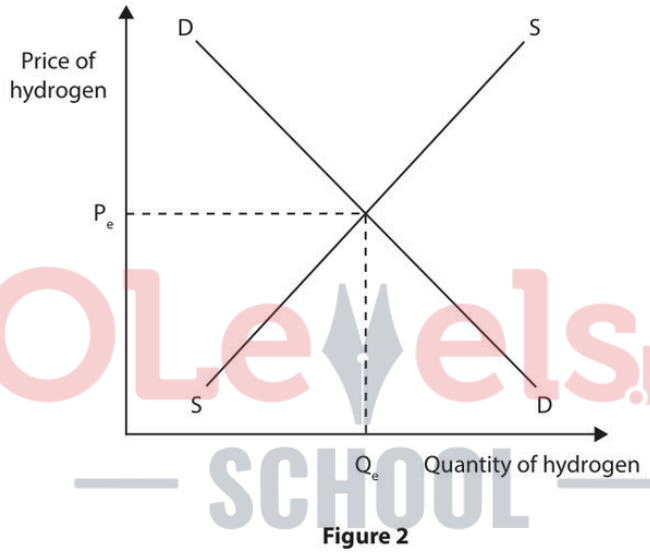


Figure 2

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11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.

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In December 2023, Portugal reported a fiscal surplus of €6.2bn, which was €3.4bn higher than 12 months before.

(g) Explain **one** possible benefit of a fiscal surplus for a country such as Portugal.

(3)

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11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.

In February 2024, the Greek Prime Minister Kyriakos Mitsotakis said that the Greek economy was entering the recovery phase of the economic cycle.

(h) With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece.

(6)

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P 7 2 1 3 4 A 0 6 2 8

11. Question 1 · part h · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part h only.



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11. Question 1 · part h · 6 marks · Working and answer

Working and answer

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Practice workbook · Label the economic cycle diagram

Annotating a given economic cycle diagram with the missing phases.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-05

1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

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In March 2021, the Scottish Government announced a package of measures worth £37.2m. This money is to be given to low income households to tackle poverty and inequality in Scotland.

(e) Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality.

(3)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

(f) Using the diagram below, label the remaining **three** stages of the economic cycle in the boxes on the diagram.

(3)

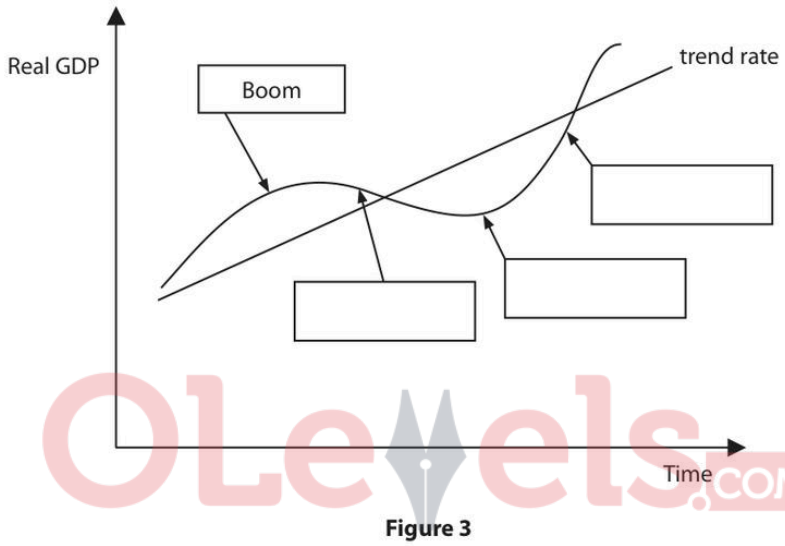


Figure 3

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

In 2020, 2% of US exports went to Australia. The main categories of goods exported included machinery, vehicles, medical instruments and aircraft. The US dollar ($) depreciated against the Australian dollar (AUD) in 2020.

(g) With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

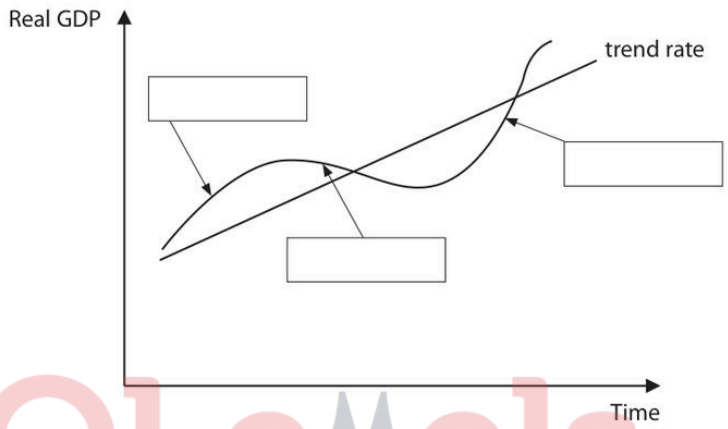


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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P 6 2 0 3 1 A 0 4 2 4

2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

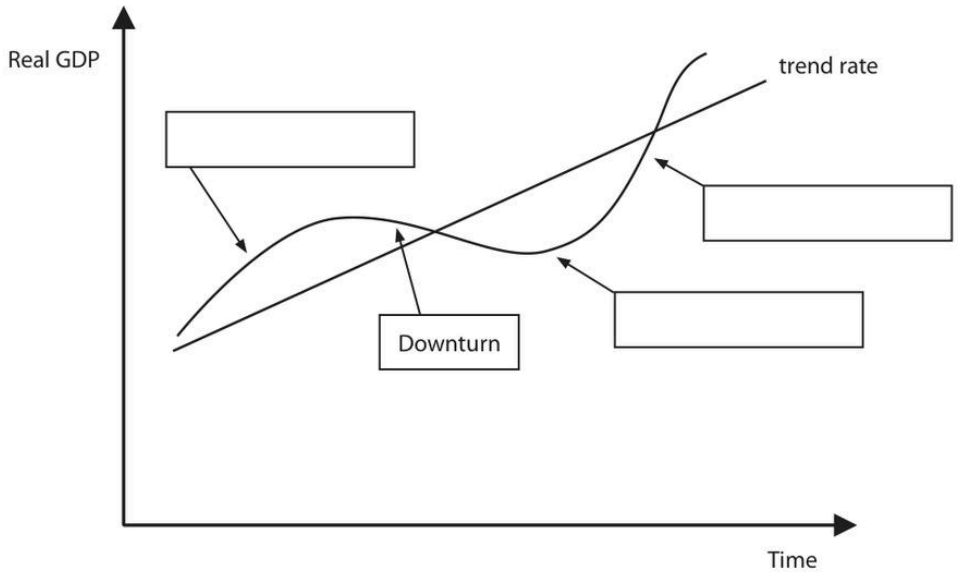


Figure 2

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

The local government in Alberta, Canada, is doubling its infrastructure budget for 2020–2021 to Canadian $1.9 bn to try to prevent job losses. Alberta had lost 117,000 jobs in March 2020, bringing the unemployment rate to 8.7%.

The additional funding will go towards repairing roads, bridges and upgrading technology in schools and universities.

(Source: https://edmontonjournal.com/news/politics/covid-19-jason-kenney-announces-infrastructure-spending-to-counter-job-losses/)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada.

(9)

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P 6 6 3 3 0 A 0 8 2 0

3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

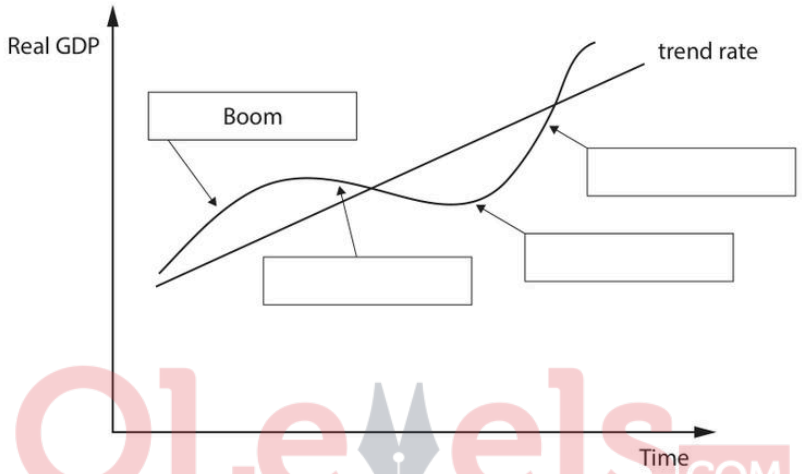


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

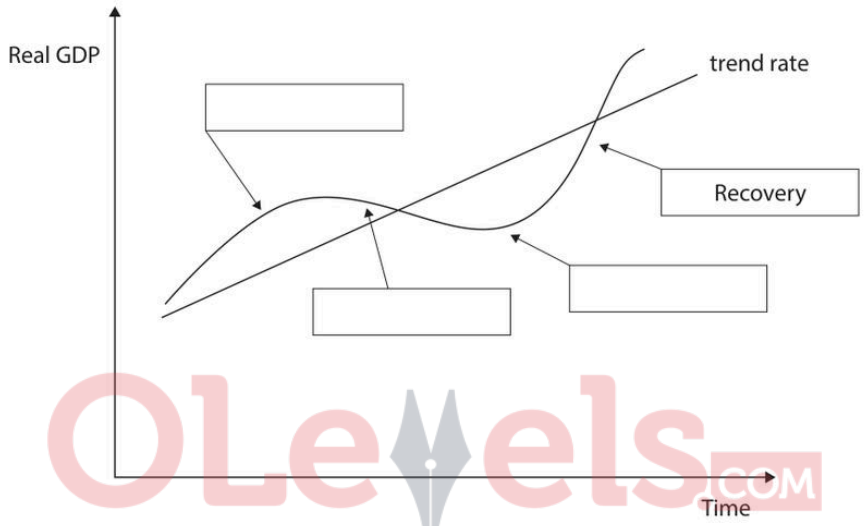


Figure 4

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

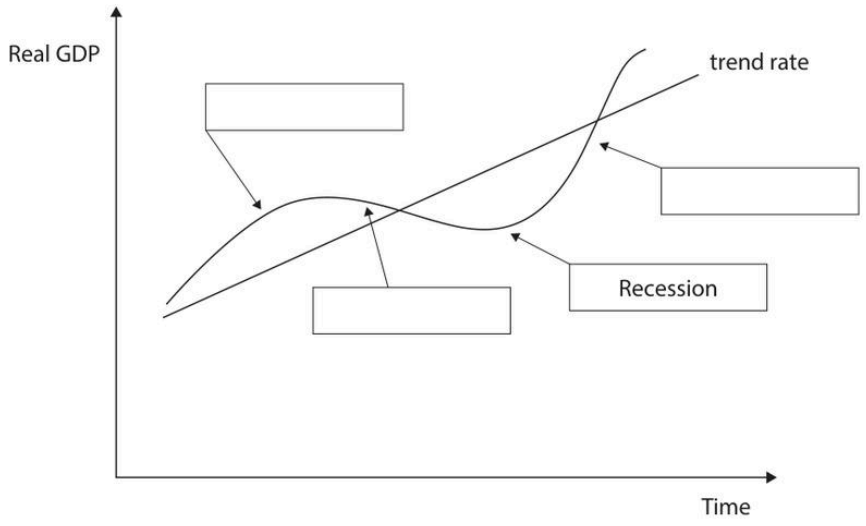


Figure 3

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

In 2022, President Biden introduced legislation to increase investment in green technology in the US. Subsidies of $369bn are given through grants, loans and tax credits to public and private firms.

These subsidies are to be used to increase battery, solar panel and wind turbine production in the US creating new factories and millions of new green jobs in the country.

There is widespread opinion amongst EU and UK politicians and business leaders that US subsidies will have a negative impact on their economies.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology.

(9)

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6. Question 2 · part f · 3 marks · Working and answer

Working and answer

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

(3)

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

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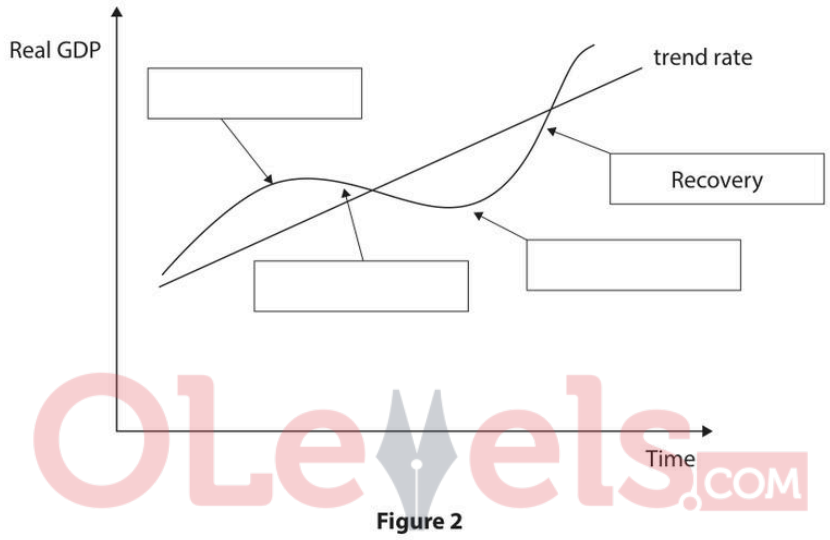


Figure 2

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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Bboxx, a firm that makes solar-powered stoves, received a $17m subsidy to reduce the price of its products. This subsidy will be used to encourage the use of solar-powered stoves in Rwanda where many households currently use firewood or coal to cook their meals.

More than 500,000 households in Rwanda will benefit from this subsidy programme. They will no longer have to burn firewood and coal, which create harmful and dangerous pollutants.

The subsidy programme is designed to reduce the percentage of households that use firewood for cooking from 80% in 2017 to 42% by 2024. This will reduce carbon emissions in Rwanda.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda.

(9)

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P 7 2 1 3 5 A 0 1 1 2 8

11

Turn over

7. Question 2 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL